

Table 12.1: asset allocation

Risk profile	Cash/fixed income	Bonds	Stocks/ETFs	Speculative investments
Conservative	20 per cent	50 per cent	30 per cent	0 per cent
Balanced	10 per cent	40 per cent	48–50 per cent	0–2 per cent
Growth	0–5 per cent	10 per cent	80 per cent	0–5 per cent
Aggressive	0–5 per cent	0–5 per cent	90 per cent	0–10 per cent

The beauty of investing is that you can always change your asset allocation; you don't have to make your bed and lie in it. Investors in training know they can be dynamic and change their investing style to suit their needs. Most people may begin as an aggressive investor in their early twenties and thirties (if they're not trying to invest for a house deposit) and over the years slowly move to more conservative styles. By the time you're close to needing to pull your money out, you should be in a more conservative fund. After all, if you are about to pull out \$100 000, you don't want that to drop 5 per cent the day before you need that cash.

So, to get the maximum gains should you take on the maximum risk possible? Surprisingly, no.

[Figure 12.2](#) (overleaf) shows the risk versus return tradeoff. It's important to note: higher risk eventually plateaus your return, and you may be taking on more risk for the return on investment that you're after. It's a bit like running on a treadmill for 30 minutes every day. For a while, the more days you do it, the fitter you get, but after a while running for 30 minutes will plateau your progress, and you'll need to add other forms of exercise into the mix.